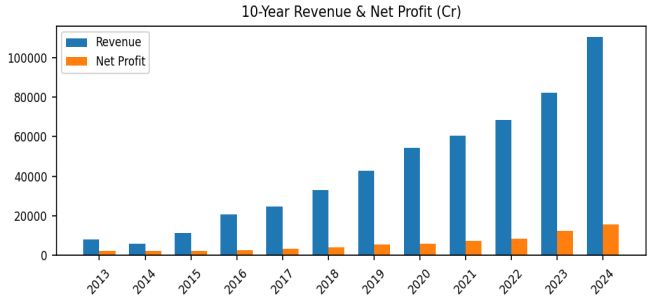
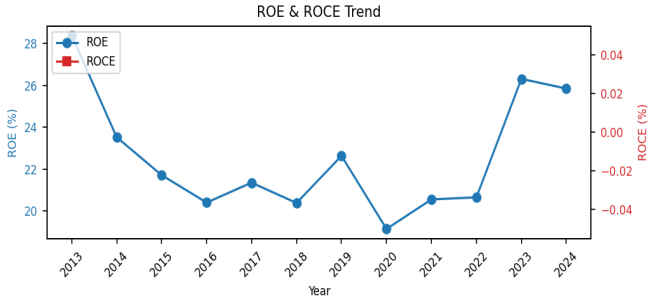
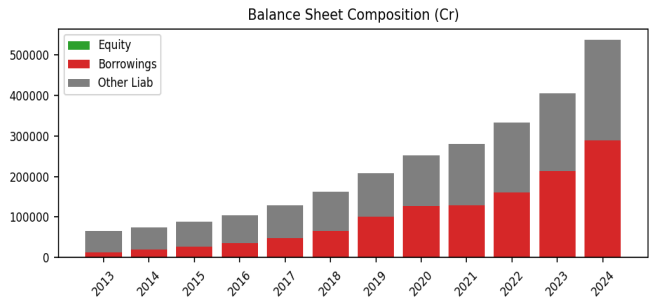
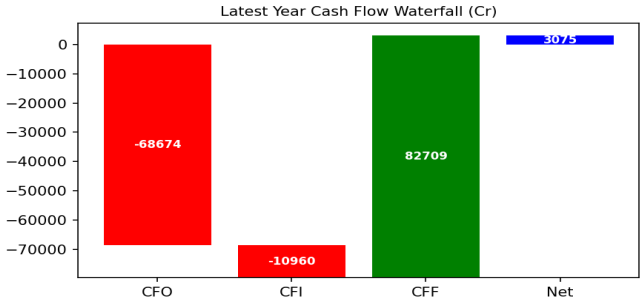
Bajaj Finserv Ltd (BAJAJFINSV)

Revenue	Net Profit	Total Equity
■11.0T	■1.6T	■159Cr
ROE	**ROCE**	**D/E**
25.9%	-	4.79x









Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency (Conf: 90%) • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (Conf: 85%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Free cash flow negative for 3 consecutive years raises concern about cash generation quality (Conf: 95%) • Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (Conf: 80%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Growth Funded by Debt